WEEKLY MACRO RECAP, VOLUME 01

The index went nowhere and the average stock lost

The week of July 27 to 31 swung 217 points on the S&P futures and closed within 30 of where it opened. Nothing happened, on the surface. Underneath, the market split in two, and **that split is the whole week.**

CONTENTS

01 The week

Where the week finished, at the Friday July 31 settle.

+0.34%	−0.34%	−0.59%	15.99	4.74%	$84.67
S&P 500, week	Nasdaq 100, week	Russell 2000, week	VIX, from 20.88	US 10 year	WTI crude

Five sessions, one driver each. Wednesday and Thursday took it down, Friday took it back.

MON 27	TUE 28	WED 29	THU 30	FRI 31
Durable goods	**Confidence**	**Fed holds**	**PCE and GDP**	**Round trip**
8:30 am, before the open	10:00 am consumer confidence	Three dissents for a hike	8:30 am, whole day priced off it	ES 7,427 low to 7,519 close
DATA	DATA	FOMC	DATA	RALLY

Green top means the session closed higher, red means lower, grey means flat.

02 The convoy

The market is a convoy of trucks, and the index only reports the lead one.

- The lead trucks are the largest companies. They fell hard midweek and came all the way back by Friday.
- The tail never caught up. Small companies finished the week down while the three big indexes finished up.
- (Cap weighted (the S&P 500 you see quoted: big companies count more)) rose 1.07 percent on the week. The **same 500 companies weighted equally** finished at minus 0.08 percent. Two markets, one number.

WHERE THE WEEK'S RETURN CAME FROM		
Cap weighted S&P 500 (SPY)	**+1.07%**	lead
Equal weight S&P 500 (RSP)	**-0.08%**	middle
Small companies (IWM)	**-0.58%**	tail

03 Rates

The quiet story, and the one most likely to matter next.

- The **US 10 year yield closed at 4.74 percent, its highest close since January 2025.** The 30 year closed at its highest since 2007.
- Long borrowing costs rising while stock volatility falls is an unusual pair. Small companies borrow the most and feel it first, which is the convoy tail.
- The Federal Reserve held rates on Wednesday for the fifth straight meeting, but **three officials dissented in favour of a hike**, the most (opposite direction dissents (officials voting for the reverse of the decision)) since September 2016. September hike odds fell from near certain to about 64 to 67 percent.

04 Oil

The most volatile thing on the board, and it is being driven by headlines.

- The US and Iran ceasefire collapsed. Strikes followed Iranian attacks on commercial shipping in the Strait of Hormuz, the channel most Gulf oil ships through.
- WTI crude finished at 84.67, down 1.68 percent on the week but **up more than 20 percent across July.** Its 20 day range is 67.82 to 93.50, a 38 percent spread. Nothing else on the board moves like that.
- Gold was flat and the dollar fell 1.50 percent. **That is not the usual war risk signature**, and one of the two has to give.

05 The catch

Volatility collapsed into a week carrying more scheduled risk than this one.

- The (VIX (the market's 30 day expected volatility, priced from options)) fell from 20.88 to 15.99, a 23 percent drop off the weekly high. **Cheap volatility does not make a surprise less likely. It makes the reaction to one larger.**

THE ONE LINE

In both directions this week, the index was the least informative thing on the screen.

SOURCES & NOTE

Sources: Index, futures, rates and commodity levels: Yahoo chart API, July 31 2026 settle; Federal Reserve decision, dissents and September pricing: FOMC July 29 2026 statement, LSEG fed funds futures via Reuters; Rates commentary: Neil Sethi, Markets Update July 31 2026; Iran and Strait of Hormuz: World Economic Forum geopolitics roundup.

Educational, not financial advice. A record of what happened and what is scheduled, for Mann's own discretion.

Glossary

Cap weighted An index where bigger companies count for more. The S&P 500 you see quoted.

Equal weight The same companies, each counted the same. Shows the average stock, not the biggest ones.

VIX The market's expected volatility over the next 30 days, priced from options. Low means calm is being assumed.

Dissent A Federal Reserve official voting against the decision. Three voted for a hike while the committee held.

Strait of Hormuz The narrow channel most Gulf oil ships through. Trouble there moves crude before anything else.

WTI West Texas Intermediate, the main US crude oil benchmark.

Yield What a government bond pays. Rising yields mean borrowing costs more for everyone underneath.